

PONDICHERRY UNIVERSITY
RAMANUJAN SCHOOL OF MATHEMATICAL SCIENCES
DEPARTMENT OF STATISTICS



M.Sc. QUANTITATIVE FINANCE
MSQF 535: Global Financial Management
LECTURE NOTES ON
Global Financial Management

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Course Objectives:

- The aim of this course is to provide an understanding of the fundamental concepts and managerial issues pertaining to international finance.

Course Outcomes (COs):

- CO1: Understand the global financial landscape:** Comprehend the roles and functions of international financial institutions and development banks like the World Bank, IMF, and ADB, as well as the process of internationalization.
- CO2: Analyze foreign exchange markets and rates:** Explain the mechanisms of the foreign exchange market, including spot and forward markets, cross-rates, bid-ask spreads, and apply theories determining exchange rates.
- CO3: Manage foreign exchange exposure:** Evaluate and manage various types of foreign exchange exposure (translation, transaction, and economic) using different methods and strategies.
- CO4: Assess multinational firm's financial management:** Analyze foreign direct investment decisions, cost of capital, capital structure, budgeting, cash management, country risk, and international taxation for multinational firms.
- CO5: Evaluate international financing operations:** Understand the characteristics and instruments of Eurocurrency markets, interest rate and currency swaps, depository receipts (GDR and ADR), and the implications of the Euro for India.

Unit-I: International Finance Overview & Institutions

International Finance — overview — International Financial Institutions/Development Banks — World Bank — IBRD — IDA — IFC — MIGA — International Monetary Fund — Special Drawing Rights — Asian Development Bank — Internationalization process.

Unit-II: The Foreign Exchange Market

The Foreign Exchange Market — SWIFT — Arbitrage — Spot market — Forward market — Cross rates of exchange — Bid — Ask spreads — Balance of payments — Foreign exchange rates — Theories of Foreign Exchange Rate.

Unit-III: Foreign Exchange Exposure and Management

Foreign exchange exposure and management — Management of translation exposure — Methods — Management of transaction exposure — Management of economic exposure — Methods — Strategies.

Unit-IV: Financial Management of the Multinational Firm

Financial Management of the Multinational Firm — Foreign direct investment — Cost of capital and capital structure of the multinational firm — Multinational capital budgeting — Multinational cash management — Country Risk Analysis — International Taxation.

Unit-V: Financing Foreign Operations

Financing Foreign Operations — Eurocurrency markets — Instruments — Interest rate swaps — Currency swaps and its pricing — Depository receipts — GDR and ADR — Euro and its implications for India.

Books for References:

1. Buckley, A. (1992): *Multinational Finance*, Prentice Hall, New Jersey.
2. Levich, R. M. (2001): *International Financial Markets: Prices and Policies*, McGraw Hill, New York.
3. Vij, M. (2001): *Multinational Financial Management*, Excel Books, New Delhi.
4. Shapiro, A. C. (1996): *Multinational Financial Management*, Prentice Hall of India, New Delhi.
5. Apte, P. G. (1999): *International Financial Management*, Tata McGraw Hill Publishing Company Ltd.
6. Jain, P. K., et al. (1998): *International Financial Management*, Macmillan, New Delhi.
7. Eun, C. S., & Resnick, B. G. (2001): *International Financial Management*, Irwin McGraw Hill, Singapore.

COs	PO1	PO2	PO3	PO4	PO5
CO1	XXX	X	X	X	XX
CO2	XX	X	XX	X	X
CO3	X	XX	XX	X	X
CO4	XX	X	XX	XX	X
CO5	XXX	X	X	XX	XX

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